Skills Assessment



Examiner Report
Advanced Assurance

Term 4
December 2025

Skills assessment

SUBJECT: Advanced Assurance

DIET: Term 4 (December 2025)

Commentary on Performance

SECTION 1

You are the audit senior working on the audit of a long-term existing client Undersea Oil and Gas Solutions Ltd (Undersea).

Question 1

Evaluate each subsequent event, concluding whether it would be an adjusting or non-adjusting event.

What was done well	What could be done better
• In general, this question was answered well with a lot of candidates scoring close to full marks. • For the evaluation, there was clear linkage to facts from the story, e.g. event (spillage) occurred during the year, so the case concluding post year end was a clarification of the year-end position.	• For the customer in liquidation, the majority noted that this was an adjusting event but failed to note that because the increase in provision was below the trivial threshold, no adjustment would be required.

Question 2

Advise what, if any, additional audit evidence would be required for any of the material subsequent events.

What was done well	What could be done better
• Most candidates were able to identify an appropriate source of audit evidence.	• While some candidates gave a valid source of audit evidence, they didn't explain the procedure that would be performed/what it would be used to verify (e.g. court documents to confirm amount awarded or penalty). • A few candidates included a response for the customer liquidation when this was not required. • Few candidates provided sufficient detail of evidence/procedures to score well across all the events.

Question 3

For each material subsequent event:

a) analyse the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily; and
b) recommend the appropriate type of audit opinion to be issued.

What was done well	What could be done better
• Many candidates correctly identified whether each issue was material/pervasive or not. • Many candidates correctly recommended the appropriate type of audit opinion.	• Some candidates provided analysis and recommendations for the customer in liquidation, despite saying this was immaterial in Q1. • Many candidates did not give much additional analysis of the impact on the audit report other than to state whether matters were material or not or pervasive or not before recommending a type of opinion. • This question was by far the least rewarding to the candidates. Candidates struggled to appropriately match a particular audit opinion to the analysis conducted.

SECTION 2

You are the audit senior for the first-year audit client Gino Positano Ltd (Gino), a retailer of luxury clothing made in Italy and leader in the trending "Amalfi Coast look", for the year ending 31 December 2025.

Question 4

Identify the key payroll controls at Gino Positano Ltd which are designed effectively to prevent or detect and correct misstatements in the payroll systems.

What was done well	What could be done better
• Identification of key controls from the paragraphs in the paper. • Most candidates managed to identify at least 6 (out of 8) correct payroll controls from the scenario.	• Some candidates just wrote out a list of parts of the process without clearly identifying the actual controls. • In addition, candidates did not use the number of marks available to help them identify the number of controls resulting in lists of 10+ controls, some of which essentially covered the same key control. • Most candidates missed out on the initial payroll control of leavers and joiners signing off their resignation and induction packs.

Question 5

Evaluate why each control would be classified as a key control for the purpose of the external audit.

What was done well	What could be done better
• Many candidates were able to explain how the controls ensured the accuracy and completeness of the information used to update the payroll systems and linked to the accuracy of the financial statements.	• Some candidates could ensure that they describe more specifically how the controls impact the accuracy and completeness of the records and financial statements. • Some candidates didn't properly explain why the control was a key control. • Some candidates knew that accuracy and completeness were the overarching key risks so tied all controls to this rather than to the detail of the actual key control identified.

Question 6

Design test of controls to confirm the operating effectiveness of each identified key control.

What was done well	What could be done better
• Many candidates were able to produce a good test, and referred to relevant documentation, and appropriate action to perform.	• Candidates must ensure that they use appropriate language to describe the test, e.g. inspect the record. • Candidates need to be careful to consider testing that the control has taken place at appropriate time, e.g. prior to payment of the payroll. • A significant number of candidates wrote substantive tests rather than tests of control. • Some candidates used the correct terminology (inspect, observe reperform, etc.) but did not clearly write tests that demonstrated what was being looked at and what they were looking for (e.g. Inspect to see payroll manager sign off).

SECTION 3

You are on secondment to the ethics department of your firm, King and Barker LLP (King and Barker). The ethics partner has asked for your assistance in evaluating several engagements, focusing on identifying any ethical threats.

Question 7

Evaluate the Marguerite Enterprises plc engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

What was done well	What could be done better
• Many correctly calculated that the non-audit fees would be 75% of total fees over the last 3 years. • Many also recognised the intimidation threat arising from the FD threatening to replace the auditors.	• Some candidates listed several threats which showed lack of understanding for what the real threat was. • Some candidates failed to recognise that this was a public interest entity, so they recommended an inappropriate safeguard. • A few students focused on principles rather than threats, therefore missing marks across Qs 7, 8 & 9 from not reading the question.

Question 8

Evaluate the Brightfield Views Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

What was done well	What could be done better
• Many identified that providing payroll services would result in a self-review threat and clearly described this. • Many candidates suggested appropriate safeguards in relation to payroll services.	• Some candidates listed several threats which showed lack of understanding for what the real threat was. • A few candidates misunderstood this scenario thinking that the firm had been asked to undertake the internal audit function, which was not the case. • Some candidates focused on Brightfield being a longstanding client and a familiarity threat.

Question 9

Evaluate the Seaweed Green Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

What was done well	What could be done better
• Many candidates identified the familiarity threat and went on to correctly explain the implication and suggested a valid safeguard.	• A number of candidates failed to identify the advocacy threat. Most instead talked about the partner having a self-interest threat which didn't receive any marks.

GENERAL COMMENTS TO CANDIDATES

There was good use of tables in Q1, Q2 and Q3 and for Q4, Q5 and Q6, enabling clear linkage of points.

For controls type questions, consider the number of marks available for the key controls. In question 3 a number of candidates had key controls around starters, leavers, HR manager and HR manger input which essential covered the same key control that HR manager ensures all starter / leavers have signed contracts / resignations.

The vast majority of candidates attempted every question which was really good to see. There was no evidence of time pressure.

With regards to the evaluation of the ethical situations, most candidates failed to provide theoretical descriptions of the ethical threats identified in the case. This caused students to lose at least 2 – 4 marks in the evaluation of the ethical issues.



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